

Tempus AI, Inc.

TEM NASDAQ

Buy \$54.45 ▲ 4.83% 12M Price Target \$68.00 52-Week Range \$41.73 – \$104.32

Market Cap \$9.78B

TEM: AI Healthcare Bounce, But Watch Insider Selling

WHAT HAPPENED

- TEM ripped +4.8% on lower volume than the prior two up days — that's the market reacting to the open-source pathology consortium news plus a broader healthcare sector bid (XLV +2.1% today, +4.4% on the week). When healthcare ETFs rally that hard, beaten-down AI-healthcare names like TEM get bought as the high-beta way to play the move.
- Options flow is screaming bullish — a 0.15 put/call ratio (people are buying ~7 calls for every 1 put, meaning bets the stock goes UP vs. DOWN) and unusual call buying at the \$57 strike. Someone with conviction is positioning for more upside near-term.

WHY IT MATTERS

Here's what this move probably means: TEM is bouncing off the bottom of its 52-week range (it's only at the 20th percentile of its range), and the smart money in options is betting the bottom is in. But don't ignore the CEO Lefkofsky dumping ~\$3.2M in stock at \$46 in late May — when the founder sells right before a bounce, it often signals he doesn't see a near-term catalyst big enough to wait for, OR it's pre-planned 10b5-1 selling (worth checking). The bigger picture: TEM sits at the intersection of two policy tailwinds — the Trump administration's "Make America Healthy Again" push for precision medicine data infrastructure, and ongoing bipartisan support for AI in drug discovery — which is why ARK, BlackRock, and Baillie Gifford are all sitting on 5%+ stakes. The risk is the stock is still down 48% from its 52-week high, so "value trap" is a real possibility if revenue growth decelerates.

POLICY & POLITICAL WATCH

Two things to watch: First, CMS (the agency that runs Medicare) is reviewing reimbursement rates for next-gen genomic sequencing tests in 2026 — TEM's Genomics segment depends on these payments, so any cuts hit revenue directly, while expansions are rocket fuel. Second, the FDA's AI/ML medical device framework (finalized guidance expected this year) actually favors TEM because they've been working with regulators for years — smaller AI-diagnostics startups will struggle to comply, which widens TEM's moat. Also keep an eye on the bipartisan "Cancer Moonshot 2.0" funding discussions in Congress; any appropriations boost flows directly into the oncology data partnerships TEM dominates.

IS IT EXPENSIVE?

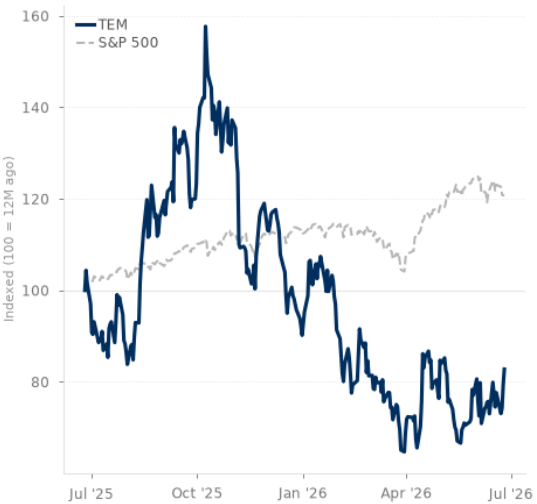
Key Data

Price (USD)	\$54.45
12M Price Target	\$68.00
Upside / (Downside)	+24.9%
Market Cap	\$9.78B
FY2026E Revenue	\$1,280M
FY2027E Revenue	\$1,620M
FY2026E EPS	(\$1.45)
FY2027E EPS	(\$0.85)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



TEM — Tempus AI, Inc. | June 25, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$60.00	\$54.00	\$46.00
6 Months	\$75.00	\$60.00	\$42.00
1 Year	\$95.00	\$68.00	\$35.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$125.00	\$22.00
10 Years	\$450.00	\$210.00	\$15.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+4.4% on the week) and Industrials are catching a bid — healthcare because of rate-cut hopes (lower rates help biotech/medtech, which need cheap capital) plus a rotation out of crowded mega-cap tech. Utilities are quietly running on AI data center power demand.

COOLING OFF: Energy is flat-to-down as oil softens; Financials are losing momentum as the yield curve flattens, which hurts bank lending profits.

ROTATION WATCH: Money is moving from "Magnificent 7" mega-cap AI into "AI applied to something useful" names — healthcare AI, industrial AI, defense AI. TEM is a direct beneficiary of this rotation because it's not a chip story, it's an AI-changes-medicine story.

RELATED PLAY: If TEM's thesis works, the picks-and-shovels plays are the cloud infrastructure (AWS, Azure) running their compute, plus pure-play genomic sequencing (ILMN, PACB) that supplies the raw data TEM analyzes.

WHO'S WINNING IN THIS SPACE?

- RXRX (Recursion Pharmaceuticals): AI drug discovery name catching the same healthcare-AI bid, riding pharma partnership announcements
- SDGR (Schrödinger): AI computational chemistry play — proves the market is bidding up AI-applied-to-biology names broadly

TEM CONTEXT: TEM is leading its peer group this week (+13% off the Monday low), which tells me the bounce is real and TEM is the favored vehicle for institutional investors to play this theme. When a stock leads its peer group out of a bottom, it usually means the smart money is accumulating — but at 20th percentile of 52-week range, there's still a lot of overhead supply (people who bought higher and want out).

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$47-50 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue miss >10%, dilutive capital raise below \$45, or Medicare reimbursement cuts for genomic testing

Hedging: Buy protective puts or pair with a profitable diagnostics name like EXAS